

M/s Karachi Shipyard & Engineering Works Ltd.
West Wharf, Dockyard Road, Karachi

.....Appellant

VERSUS

- 1. Government of Baluchistan, through the Secretary, Fisheries & Coastal Development Department, Quetta**
- 2. Director General Fisheries, Fisheries & Coastal Development Department, Government of Baluchistan, Quetta**

..... Respondents

Quorum

1. Mr. Habib Ur Rehman Jamot Chairman PRC
2. Mr. Mubashir Ali Khan (FCIPS) Member PRC
3. Engr. Junaid Shah Member PRC
4. Engr. Muhammad Ayub Nasir Technical Member PRC
5. Mr. Abdul Hayee Advocate Private Member PRC

DECISION

Dated: 24-02-2026

Mubashir Ali Khan (FCIPS) – Member PRC. The instant appeal has been filed by the Appellant under Rule 56-A of the Baluchistan Public Procurement Rules, 2014, challenging the Technical Evaluation Report issued in respect of Tender No. TSE-252610895171 for "Procurement of 02 x Fast Response / Patrolling Boats" floated by Respondent No. 2.

2. The subject procurement was conducted under Quality and Cost Based (QCBS) evaluation criteria with 50% technical and 50% financial weightage.
3. The Technical Bids were opened electronically on 24th November 2025. Three firms including the Appellant participated in the bidding process. The Procurement Committee evaluated the technical and financial proposals and the Appellant emerged as the second highest scoring bidder, despite offering the lowest financial bidder under the QCBS method.
4. The Appellant having secured (40/50) 80% score in technical evaluation, is aggrieved on the marks awarded to him in the following three evaluation factors and contends

that his technical proposal merited higher marks and requests rectification of the evaluation:

- i. Boat Design & Engineering (Lost 5 Marks)
- ii. Production Capabilities & Facilities (Lost 5 Marks)
- iii. Compliance & Delivery (Lost 10 Marks)

5. The Appellant further contends that the evaluation process lacked transparency, that no opportunity of clarification was afforded before deduction of technical marks in violation of Rule 36, and that the grievance mechanism under Rule 56 remained ineffective as Respondent No. 1 failed to pass or communicate any written decision within the statutory period.
6. Being aggrieved by the evaluation outcome, the Appellant filed a formal grievance with Respondent No. 1 under Rule 56 of the BPP Rules. Upon alleged failure of the Respondents to decide the grievance, the Appellant has preferred the instant Appeal before this Committee seeking declaration of the evaluation process as illegal, direction for disclosure of evaluation documents and re-evaluation of bids.
7. Upon admission of the Appeal, this Committee issued notices to the Respondents, directing them to appear and file written replies.
8. Respondent No. 2 appeared and filed their para-wise reply, contesting the appeal on both factual and legal grounds. The respondents submitted that the subject procurement was conducted strictly in accordance with the QCBS methodology as prescribed in the bidding documents. Under QCBS, successful bidder is determined on the basis of combined technical and financial scores and not merely on the lowest financial offer. While the appellant quoted a lower financial price, M/s Bolan Services & Consultants (JV) secured higher technical marks (95/100), which resulted in a higher combined QCB score of 95.13 marks. Therefore, placement of the appellant scoring 90.00 marks as second-ranked bidder was a direct mathematical outcome of the QCBS formula and not arbitrary.
9. The Respondents further submitted that the financial bids were opened on 8th December 2025, and minutes of the same were signed and issued on 26th December 2025. On 2nd January 2026, the same was shared via email with the Appellant. In addition, after finalization of financial evaluation, the complete evaluation report was shared with all bidders and the unsigned (owing to space limitation) combined evaluation report was uploaded at the BPPRA ePPS. Upon request, the complete signed evaluation documents were shared with the appellant via official email and

WhatsApp dated 2nd January 2026. Thus, the Respondents contend there was no concealment or procedural illegality.

10. Regarding the grievance mechanism, the respondents submitted that the grievance was duly placed before the Grievance Redressal Committee, which examined the entire procurement record in detail. The Appellant participated online and duly recorded their observations. The minutes of the GRC were finalized and signed by all members on 29th December 2025 and thereafter formally communicated to all participating firms vide departmental letter dated 13th January 2026, with copies distributed to all bidders. Accordingly, the grievance mechanism under Rule 56 was fully complied with and the appellant's assertion of CRC's inaction is false.
11. Unfortunately, in the days subsequent to the aforementioned proceedings, the law and order situation in the province deteriorated to an unprecedented level. The prevailing environment of heightened insecurity severely impaired the ability of this Committee to convene hearings in a timely manner. The disruption, however, was neither anticipated nor within the control of any party or the Committee itself and it necessitated an inevitable deferment of the scheduled proceedings.
12. During this period, this Committee received and considered requests for adjournment and extension of hearing dates submitted by both the Appellant and the Respondents. Mindful of the extraordinary circumstances and the principle of ensuring fair and unhindered access to justice, the Committee allowed these requests despite the consequent compromise upon the timeline stipulated under the Rules for the announcement of the final decision. The Committee remained cognizant that adherence to procedural timelines, while sacrosanct under ordinary circumstances, had to be balanced against the overriding security concerns.
13. It is, however, placed on record that this Committee, throughout this period of disruption, consistently prioritized the eventual adjudication of the lis on its merits. All extensions were granted with the explicit understanding that parties would cooperate in expeditiously concluding the proceedings once the law and order situation permitted the resumption of normal functioning. The delay, though regrettable, was neither occasioned by any lapse on the part of this Committee nor by the conduct of any party, rather, it was an unfortunate consequence of forces entirely extraneous to the adjudicatory process.
14. As the law and order situation in the province showed signs of stabilization, communications were issued to all parties, scheduling fresh hearings. Both the Appellant and the Respondents were afforded full opportunity to present their cases.

The Committee remained mindful of the delay already caused and therefore prioritized the expeditious conclusion of the matter.

15. The core issue for determination in this appeal is whether the Evaluation Committee and the Contract Review Committee (CRC) applied the published criteria in a rational and objective manner when awarding marks to the appellant in the contested categories.
16. Upon reviewing the detailed technical evaluation records and the deliberation of the CRC, this Committee finds that both the statutory bodies recorded specific, substantive observations for each sub-factor. In the case of the Appellant, the rationale for the marks awarded in the disputed categories is clearly documented as follows:

Innovation (Sub-Factor 1.1.4)

Was innovation demonstrated beyond standard compliance?

The bidding documents required an innovative overall design, subject to qualitative assessment. While the appellant submitted a presentation, the evaluation committee observed that it failed to demonstrate innovation beyond compliance with basic standards. The CRC upheld this technical evaluation affirming that marks for innovation are awarded on demonstrable qualitative merit, not merely on the submission of documents.

Human Resources & Operational Staffing (Sub-Factor 1.3.2)

Was the required HR structure for an operational boat yard established?

The bidding documents required proof of an operational boat building yard, including salary slips of core human resources to demonstrate staffing capacity. The appellant submitted tax deduction certificates. The evaluation committee noted the absence of the required HR list or salary slips for core staff. The CRC agreed, clarifying that "related documents" must explicitly establish the operational staffing structure of the yard, and that tax certificates alone are insufficient evidence for this requirement.

Delivery Schedule (Sub-Factor 1.5.3)

Were clear delivery timelines provided?

The terms required a delivery schedule with clearly defined timelines. Although the appellant provided a surety certificate, the evaluation committee found that the required timeline commitments were not clearly specified. The CRC also affirmed that a surety certificate unaccompanied by clear delivery milestones, does not meet the stipulated criterion.

Yard Registration (Sub-Factor 1.5.1)

Was the yard registered with the MMD or an equivalent body?

The bidding documents explicitly required registration from the Mercantile Marine Department (MMD) or an equivalent body. When the appellant failed to provide such registration, marks were deducted. In its appeal, the appellant argued that the requirement itself was misguided, contending that the MMD registers vessels—not the shipyards that build them—and that the criterion had therefore been misapplied. As a state-owned enterprise, the appellant further submitted that it operates under a distinct regulatory framework that exempts it from such registration requirements.

To counter this, the respondent produced a letter from the MMD addressed to another private shipyard, clearly documenting the annual renewal of that yard's registration. This substantiated that, shipbuilding yards are required to register with the MMD.

In support of its position, the appellant obtained a letter from the MMD addressed to no other than the applicant itself, that government shipyards are exempt from MMD registration due to their distinct regulatory framework. The respondent questioned the authenticity and relevance of the letter and sought permission from this Committee to engage further with the MMD for clarification. That request was declined, as conducting such investigations falls beyond the scope of this Committee's mandate.

It is important to note, however, that this exemption letter was not part of the appellant's original bid. It was procured subsequently, during the appeal proceedings, in an effort to justify why the required registration had not been provided at the time of bidding. Under Rule 36 of the procurement regulations, no acceptance or

modification that alters the substance of a submitted bid is permissible after its opening. The evaluation must be conducted strictly in accordance with Rule 35, which requires procuring agencies to assess bids on the criteria set forth in the bidding documents solely on basis of the material submitted therewith.

Applying this principle, the evaluators were bound to assess the appellant's bid on the basis of what was presented at the time. The exemption letter, even if it were to be considered authentic was not before them. They could not have assumed an exemption that was neither claimed nor evidenced in the bid itself. The procuring agency therefore committed no error in applying the criterion as written and awarding marks strictly in accordance with the stated requirements.

After weighing the materials placed before us, this Committee finds itself presented with two competing interpretations of the registration requirement. On one hand, the respondent has demonstrated that private shipyards are required to register with the MMD. On the other hand, the appellant itself a state-owned entity has produced a document suggesting that SOEs may be exempt from such registration. The bidding documents, however, drew no distinction between private and state-owned entities. The requirement for MMD or equivalent certification was stated in categorical terms. If an exemption for SOEs was intended to be recognised, it was not articulated in the criteria, nor was it a matter for the evaluators to assume.

Accordingly, the evaluation committee and the CRC were correct in applying the criterion as written and awarding marks strictly in accordance with the stated requirements. The certificates submitted by the appellant, while not without relevance, did not meet the specific condition set out in the bidding documents. If the parties wish to pursue the question of the exemption letter further or seek clarification, they remain at liberty to do so independently.

17. The Committee notes that some observations recorded against the appellant appear to be factually incorrect. Specifically, the observation that the appellant is "a spare parts company not a boat building company" is erroneous, given that the appellant is a state-owned enterprise under the Ministry of Defense Production and an established shipbuilding facility. Such an observation casts doubt on the thoroughness and accuracy of the evaluation process.

18. The Committee also notes that under the QCBS methodology, the evaluation committee legitimately enjoys a certain degree of discretion in assessing technical proposals based on the set criteria and it is not within the jurisdiction of this Committee to overturn a technical assessment and impose its own opinion. Our review is confined to the regularity of the procedure, not the merits of the professional judgment exercised.
19. The record shows that the appellant was afforded an opportunity to participate in the Grievance Redressal Committee proceedings online and record their observations. The minutes of the GRC dated 29th December 2025 reflect that the appellant's concerns were considered.
20. The Committee has also examined the contention regarding the erroneous uploading of a Technical Evaluation Report under the title of "Financial Evaluation Report." The respondents have candidly admitted to a technical limitation during PDF uploading and have demonstrated through email and WhatsApp correspondence dated 2nd January 2026 that the complete signed evaluation documents were subsequently shared with the appellant. The Committee finds that while this constituted a minor procedural irregularity, it was promptly rectified and did not cause any material prejudice to the appellant, as the complete documents were made available to all the participating bidders.
21. The appellant's grievance is that they deserved higher marks in certain categories. However, mere disagreement with the marks awarded does not constitute a basis for interference by this Committee, unless the evaluation is shown to be arbitrary or contrary to the prescribed criteria. The Committee notes that:
- I. The evaluation committee applied the same criteria to all bidders
 - II. Detailed observations were recorded for each sub-factor
 - III. The marks awarded to the leading bidder (95/100) were substantially higher, indicating that the criteria were capable of being fully met
 - IV. The appellant's own marks (80/100) placed them second, which is consistent with their status as a reputable shipyard

ORDER

For the foregoing reasons, this appeal is disposed of in the following terms:

- I. The Appellant's challenge to the Technical Evaluation Report dated 4th December 2025 is hereby rejected and the Respondent's prayer for dismissal of the Appeal is granted.
- II. The Respondents are directed to ensure that in all future procurements, evaluation committees must exercise utmost care and diligence in recording observations and awarding marks and that opportunities for clarification under Rule 36 are afforded to bidders where any ambiguity or deficiency is perceived in their submissions.


Habib Ur Rehman Jamot
Chairman
Government of Balochistan
Public Procurement Review Committee
(B-PPRA)
24/02/2026


Mubashir Ali Khan (FCIPS)
Member
Procurement Review Committee
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Engr. Junaid Shah
Member
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